

GOLDEN HEDGE AGAINST RISK

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GOLD PRICES HAVE SURGED OVER 32% IN ONE YEAR. DOES THE RALLY HAVE MORE STEAM LEFT, ESPECIALLY IN THE LIGHT OF GLOBAL UNCERTAINTY, OR IS A CORRECTION ON THE HORIZON?

BY TEENA JAIN KAUSHAL

G**OLD HAS ONCE** again become an alluring prospect across the world—this time because of US President Donald Trump’s unilateral imposition of “reciprocal” tariffs on 60 countries. His announcement has sent ripples through global markets, unsettling investors and triggered an escalating trade war.

As always in times of turmoil, all eyes turn to gold—the timeless safe-haven asset.

“The imposition of US tariffs is likely to fuel inflationary pressures, with projections suggesting US inflation could rise above 5%, while GDP growth risks turning negative,” says Vandana Bharti, Head of Commodity Research at SMC Global Securities. In this tumultuous period—where corrections are being seen across asset classes including bonds, the dollar, equities, and commodities—gold is emerging as a key hedge.

As of now, gold has outperformed major asset classes, with prices rising over 15% year-